

House File 919

H-1163

1 Amend House File 919 as follows:

2 1. By striking everything after the enacting clause and
3 inserting:

4 <Section 1. Section 135B.1, Code 2025, is amended by adding
5 the following new subsection:

6 NEW SUBSECTION. 7. "*Children's specialty hospital*" means a
7 hospital described by all of the following:

8 a. The hospital is owned and operated by a nonprofit
9 organization.

10 b. The hospital only serves individuals thirty years of age
11 and younger.

12 c. More than sixty percent of the individuals served by the
13 hospital receive medical assistance under chapter 249A.

14 d. The hospital specializes in pediatric rehabilitation and
15 treating children with a behavioral health condition or complex
16 medical needs.

17 e. The hospital has no more than two hundred inpatient beds.

18 f. The hospital provides outpatient services.

19 g. The hospital met the definition of a special population
20 nursing facility, as promulgated by rule by the department of
21 health and human services, prior to July 1, 2025.

22 Sec. 2. NEW SECTION. 135B.40 **Children's specialty**
23 **hospitals.**

24 1. The department may adopt rules pursuant to chapter 17A
25 to establish minimum standards for the licensure of children's
26 specialty hospitals. Rules adopted pursuant to this section
27 shall be formulated in consultation with the director of
28 health and human services or the director's designee, and with
29 affected industry, professional, and consumer groups.

30 2. A children's specialty hospital shall establish formal
31 criteria based on objective medical standards for patient
32 admission, discharge, and continuation of care.

33 Sec. 3. DEPARTMENT OF INSPECTIONS, APPEALS, AND LICENSING
34 — DEPARTMENT OF HEALTH AND HUMAN SERVICES — CHILDREN'S
35 SPECIALTY HOSPITALS.

1 1. For purposes of this section, "licensed entity" means
2 an entity granted a provisional children's specialty hospital
3 license under subsection 2, paragraph "a".

4 2. The department of inspections, appeals, and licensing
5 shall do all of the following:

6 a. Within thirty calendar days of the effective date of
7 this Act, grant a provisional children's specialty hospital
8 license to an entity that requests such provisional licensure
9 provided that the entity meets the definition of children's
10 specialty hospital under section 135B.1. A provisional license
11 granted under this paragraph shall be valid for no more than
12 twenty-four consecutive months from the date the provisional
13 license is granted. A licensed entity may seek federal
14 certification and participation in federal reimbursement
15 programs that require hospital licensure.

16 b. Grant reasonable waivers from state hospital rules to
17 permit a licensed entity to maintain the licensed entity's
18 operations as provided prior to the effective date of this
19 Act, until the date the licensed entity obtains federal
20 certification or the ability to participate in federal
21 reimbursement programs that require hospital licensure. After
22 a licensed entity obtains federal certification or the ability
23 to participate in federal reimbursement programs that require
24 hospital licensure, the department of inspections, appeals, and
25 licensing and the department of health and human services shall
26 grant the necessary waivers to the licensed entity to ensure
27 the licensed entity's compliance with the requirements of the
28 federal certification or the federal reimbursement programs.
29 Waivers granted under this paragraph shall specifically include
30 a waiver from state rules that require a licensed entity to
31 maintain, or to have available, laboratory and pathology
32 services and facilities, other than laboratory and pathology
33 services and facilities that the licensed entity maintained
34 prior to the effective date of this Act, and a waiver from
35 state rules that require the provision of emergency services,

1 other than emergency services that the licensed entity provided
2 prior to the effective date of this Act. Each waiver granted
3 to a licensed entity under this paragraph shall be valid for
4 no more than twenty-four consecutive months from the date the
5 licensed entity was granted a provisional children's specialty
6 hospital license under paragraph "a", or until the date the
7 licensed entity obtains a permanent children's specialty
8 hospital license, whichever date is earlier.

9 c. Collaborate with the department of health and human
10 services and a licensed entity to assist the licensed entity
11 in seeking federal certification or participation in federal
12 reimbursement programs requiring hospital licensure.

13 3. A licensed entity may operate under the minimum physical
14 standards for nursing facilities in 481 IAC 61 under which
15 the licensed entity operated prior to the effective date of
16 this Act, and shall be exempt from all other construction
17 standards applicable only to hospitals and off-site premises.
18 The exemption under this paragraph shall include the exemption
19 from the standards set forth in the guidelines for design
20 and construction of hospitals as published by the facility
21 guidelines institute.

22 4. The department of health and human services shall set
23 reimbursement rates for inpatient care and outpatient care
24 provided by the licensed entity. Reimbursement rates under
25 this subsection shall be equal to the licensed entity's average
26 allowable per diem costs, and adjusted for inflation based on
27 all of the following:

28 a. For inpatient care, 441 IAC 79.1(5)(k).

29 b. For outpatient care, 441 IAC 79.1(1)(g), (h), and (i).

30 5. A licensed entity shall be exempt from certificate of
31 need requirements under chapter 10A, subchapter VII, part 2,
32 to the extent that the licensed entity is implementing a new
33 institutional health service, or a changed institutional health
34 service, for the purpose of converting the licensed entity to a
35 children's specialty hospital, or to revert the licensed entity

1 to a nursing facility. The exemption under this subsection
2 shall continue until the earlier of the following occurs:

3 a. The date the licensed entity obtains a permanent
4 children's specialty hospital license.

5 b. Twenty-four consecutive months from the date the
6 licensed entity was granted a provisional children's specialty
7 hospital license.

8 Sec. 4. EMERGENCY RULES. The department of inspections,
9 appeals, and licensing may adopt emergency rules under section
10 17A.4, subsection 3, and section 17A.5, subsection 2, paragraph
11 "b", to implement the provisions of this Act and the rules
12 shall be effective immediately upon filing unless a later date
13 is specified in the rules. Any rules adopted in accordance
14 with this section shall also be published as a notice of
15 intended action as provided in section 17A.4.

16 Sec. 5. EFFECTIVE DATE. This Act, being deemed of immediate
17 importance, takes effect upon enactment.>

18 2. Title page, line 1, after <to> by inserting <children's>

19 3. Title page, line 2, by striking <organizations.>

20 and inserting <organizations, and including effective date
21 provisions.>

A. MEYER of Webster